Flossbach von Storch
RESEARCH INSTITUTE



Economic Report

Pablo Duarte

November 2026

Macroeconomic Outlook in Brief

Global: The Oil Price Shock Continues
Oil prices have fallen recently, yet the shock continues. High energy and transport costs as well as inflation risks weigh on the global economy.

USA: Growth Risks Are Rising
Private consumption remains the most important growth driver. However, a falling savings rate, high financing costs, and volatile equity markets increase the risks.

Euro Area: Germany Recovers, Inflation Rises Further
Germany is gaining momentum, France remains weak. The renewed rise in inflation complicates a broader recovery.

China: Monetary Policy Supports, Domestic Economy Remains Weak
The real estate crisis and weak consumer sentiment weigh on domestic demand. An expansionary monetary policy attempts to counteract this.

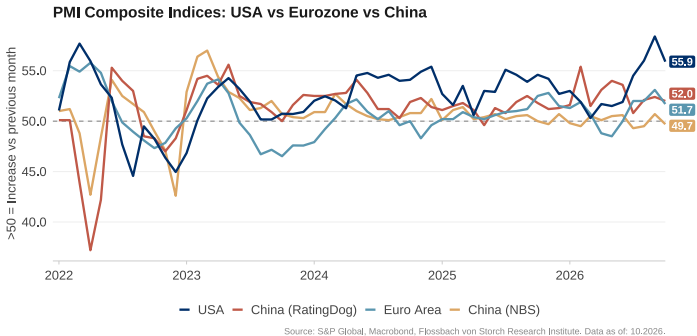
Can the Economy Withstand the Oil Price Shock?



Contents

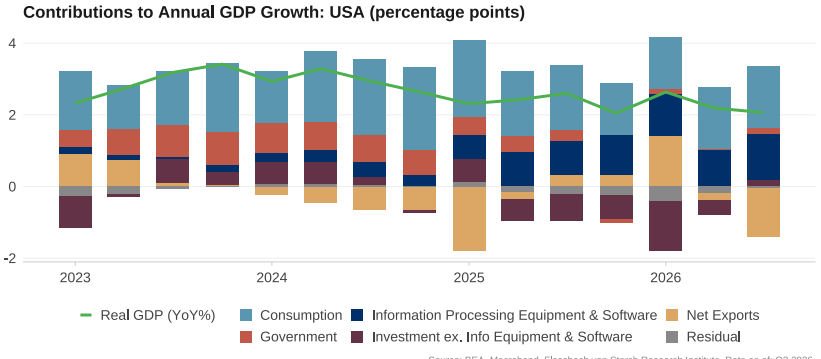
Economic Situation 5
Oil Price Shock 9
Inflation and Monetary Policy 14
Real Economy 28
Outlook 51

USA and Eurozone Continue to Expand, but at a Slower Pace



In October, business conditions in the US and the Eurozone remained in expansionary territory, but weakened slightly. The Purchasing Managers' Index (PMI) stood at 51.7 in the Eurozone and at 55.9 in the US. In China, the picture remained split: the official NBS PMI dropped just below the neutral threshold at 49.7, while the private export-focused RatingDog-PMI stood at 52.0.

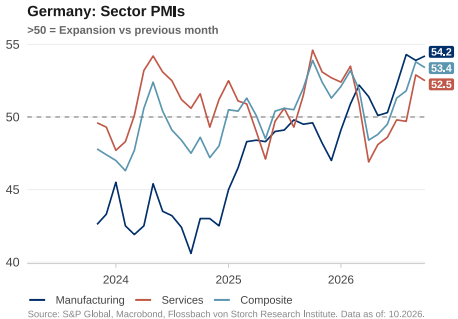
US Consumption Remains the Main Growth Driver

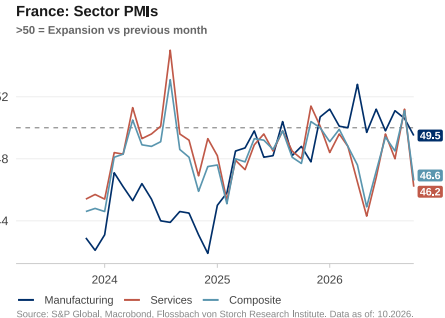


Source: BEA, Macrobond, Flossbach von Storch Research Institute. Data as of: Q3 2026.

In the third quarter of 2026, real US GDP grew by 2.07% year-on-year (following 2.19% in the second quarter). Private consumption was the main growth driver, contributing 1.7 percentage points. The direct growth contribution of AI-related investments (hardware + software) was a solid 0.9 percentage points, but net imports contributed -1.18 percentage points to growth. Although large sums were invested in IT infrastructure, much of it was purchased abroad. Investments remain heavily concentrated in AI hardware and software. The growth contribution of all other investments was very low at 0.15 percentage points.

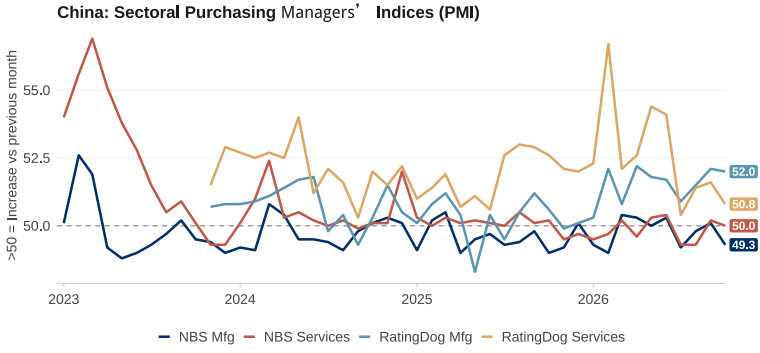
Germany Continues to Recover, France Does Not





In Germany, business conditions are improving, while they are deteriorating significantly in France. In Germany, the Composite PMI stood at 53.4. New orders are predominantly coming from defense and the AI industry. In France, by contrast, conditions slumped: the Composite PMI slid to 46.6 points, driven especially by weak business conditions in the services sector. Political instability and high financing costs worsened the outlook for the coming year.

China: Domestic Economy Remains Weak

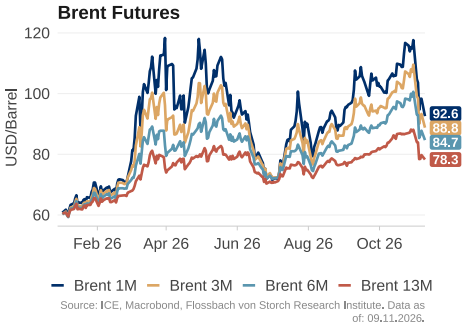


The Purchasing Managers' Indices for October 2026 point to an ongoing fragile condition of China's domestic economy. The official NBS PMI fell back below the neutral threshold in manufacturing at 49.3 points and stood exactly on the neutral line in services at 50.0 points. The private RatingDog-PMI held up in expansionary territory at 52.0 points in manufacturing and 50.8 points in services.

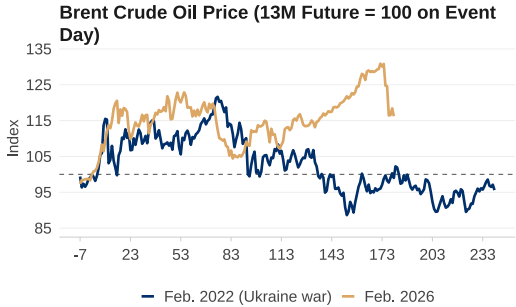
Oil Price Shock



Oil Prices Fall, but the Shock Persists



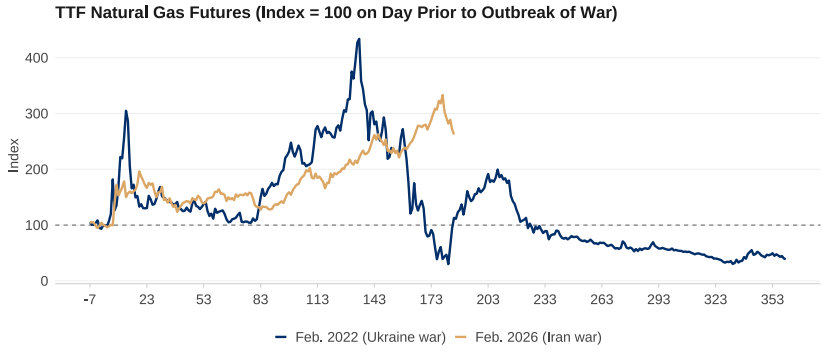
Source: ICE, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.11.2026.



Source: ICE, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.11.2026.

Oil prices have fallen noticeably in recent days. Futures prices for oil deliveries in one year also eased, but remain well above their level prior to the start of the war in Iran. In 2022, following a similarly sharp increase, oil futures had already largely normalized by this point in time.

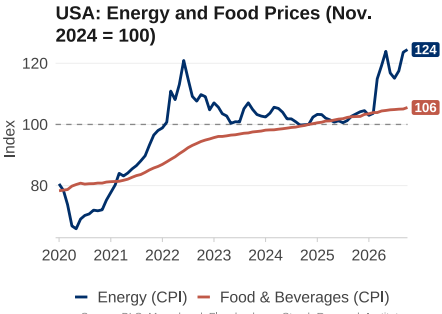
European Gas Prices Remain Significantly Elevated



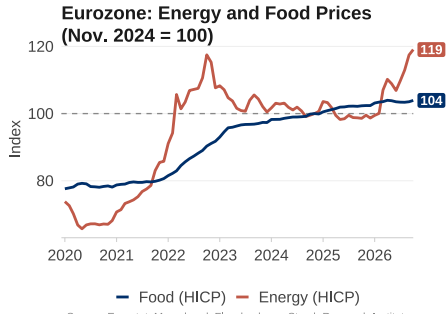
Source: ICE, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.11.2026.

Europe remains heavily dependent on oil and gas imports. Following a renewed increase, Dutch TTF front-month natural gas futures eased recently and stand around 170% above the level prior to the start of the war in Iran. During the 2022 energy crisis, European gas prices temporarily tripled. By this time of year, however, they had already fallen sharply after the missing Russian supply had largely been replaced by LNG imports.

More Expensive Energy Weighs on Purchasing Power



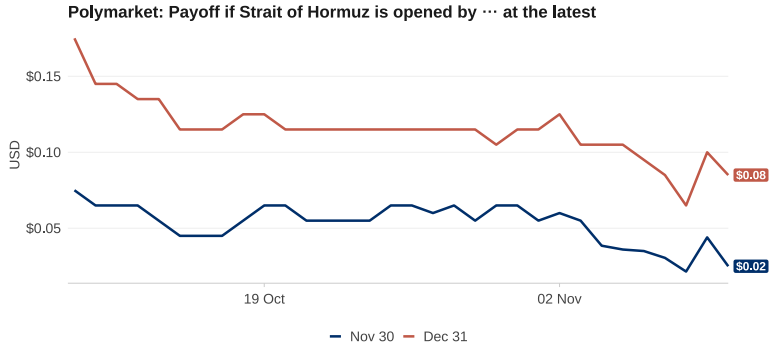
Source: BLS, Macrobond, Flossbach von Storch Research Institute.
Data as of: 10.2026.



Source: Eurostat, Macrobond, Flossbach von Storch Research Institute.
Data as of: 10.2026.

Food and energy prices are excluded to analyze the underlying inflation trend. For the perception of purchasing power and voting behavior, however, precisely these prices are crucial. After the sharp rise in 2021, energy prices had stabilized, but food prices continue to rise. The war in Iran has now driven energy costs up once again: in the US, they stand 24% above levels prior to Trump's election (Nov 2024). In the euro area, they are up 19%.

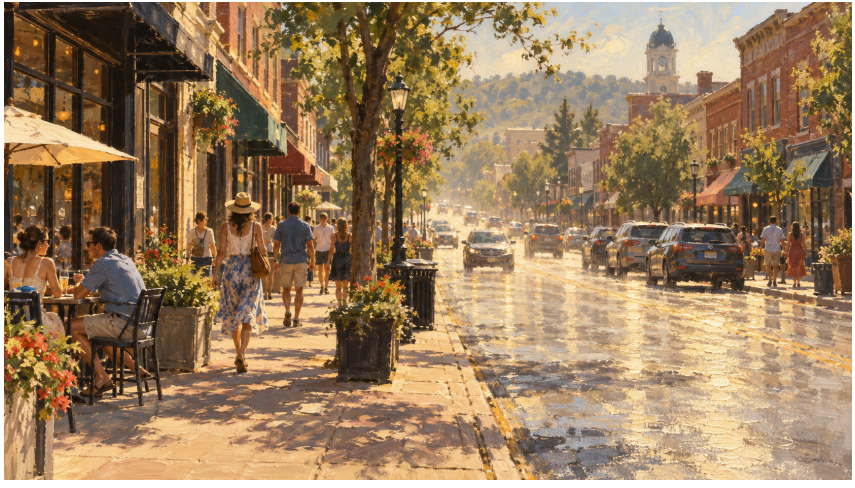
Prediction Markets Expect No Quick Reopening of Hormuz



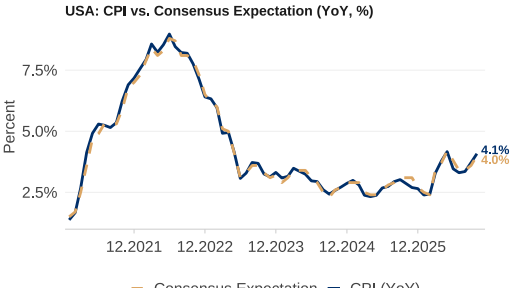
Source: Polymarket, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.11.2026.

A reopening of the Strait of Hormuz is decisive for the oil supply. Prediction markets price in a reopening by the end of November with a probability of only around 3%. For the end of December, the probability stands at barely 8%, reflecting persistent risk premia in global freight and energy costs.

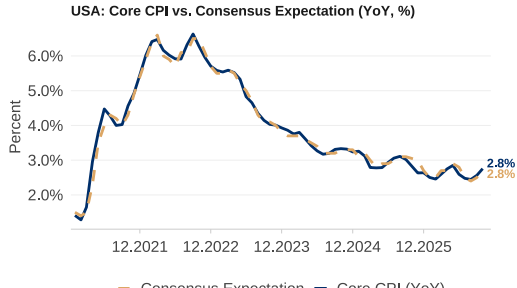
Inflation and Monetary Policy



US Inflation Remains High and Exceeds Expectations



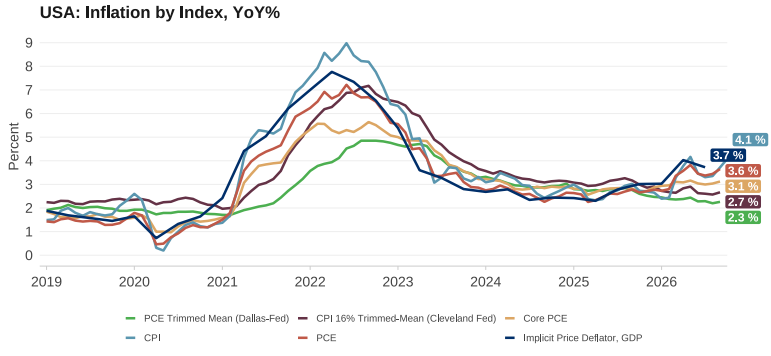
Source: BLS, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.2026.



Source: BLS, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.2026.

In October, consumer prices in the US continued to rise noticeably. The Consumer Price Index (CPI) increased by 0.4% month-on-month, slightly exceeding the consensus expectation of 0.3%. The CPI excluding food and energy rose by 0.3%, also somewhat higher than the 0.2% expected by participants in a monthly Bloomberg survey. The BLS statistical agency did not publish annual figures because price data was not collected in October of the previous year due to the government shutdown. Compared to September of the previous year, the headline CPI rose by 4.1% and the core CPI by 2.8%.

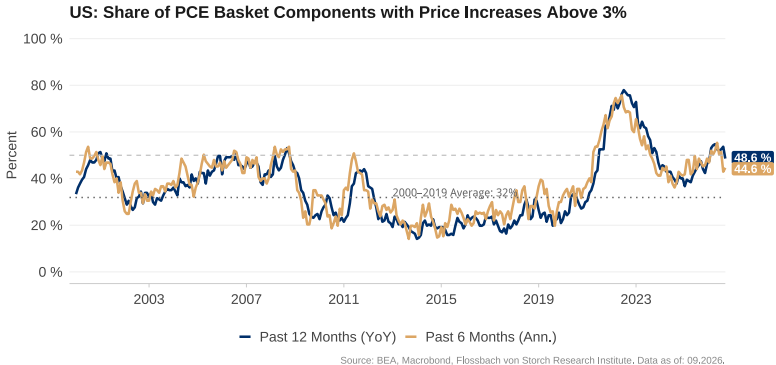
A Different Picture Depending on the Inflation Measure



Source: BEA, BLS, Cleveland Fed, Dallas Fed, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.2026.

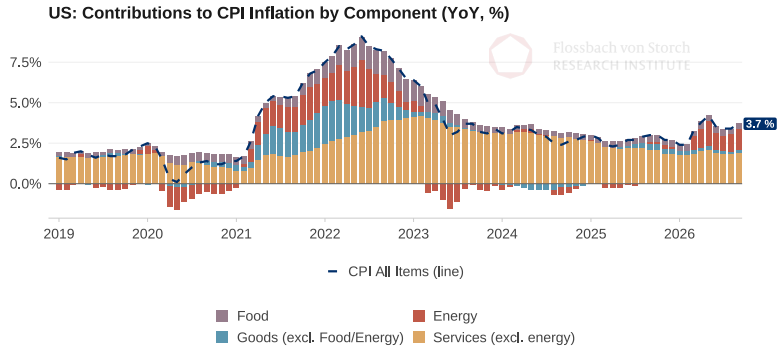
Inflation is measured using various indices: the CPI captures consumer prices, the PCE index tracks household consumption expenditures, and the GDP deflator reflects prices of all domestically produced goods and services. Inflation rates across all three indicators peaked in mid-2022. In September 2026, the annual inflation rate of the Fed's preferred Core PCE Index (excluding food and energy) stood at 3.1%. The new Fed Chair Kevin Warsh takes into account, among others, "trimmed-mean inflation," which excludes the largest price increases and decreases. Under this measure, inflation in September ranged between 2.3% and 2.7%.

For Almost Half of PCE Components, Inflation Exceeds 3%



In his speech at the Jackson Hole symposium (August 2026), Fed Chair Kevin Warsh emphasized the persistent breadth of price pressures and pointed to the components of the PCE basket: In September 2026, 48.6% of tracked goods and services recorded a price increase of more than 3% year-on-year. Although this figure dropped below the 50% mark for the first time in months (post-pandemic peak: around 77%), it remains significantly above the level of the two pre-crisis decades (2000–2019 average: 31.9%). On a six-month annualized basis, the share of components with inflation rates above 3% stood at 44.6% most recently.

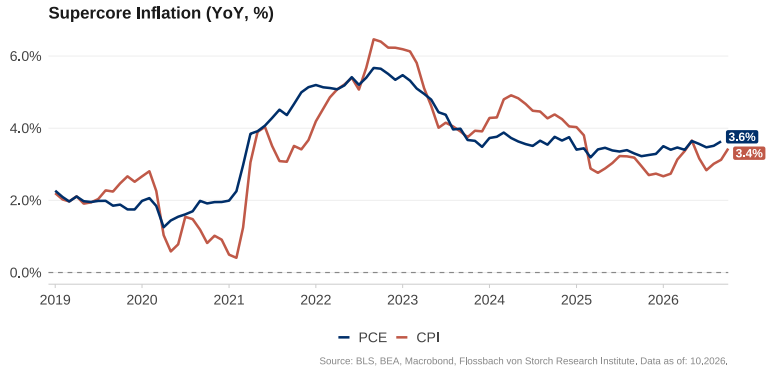
Services and Energy Drive US Inflation



Source: BLS, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.2026.

Services inflation remains the dominant driver of US inflation. While the contribution of food prices remains moderately positive, the recent oil price shock is now feeding through in full force: the inflation contribution of energy prices is at its highest level since 2022, pushing the headline rate noticeably higher once again.

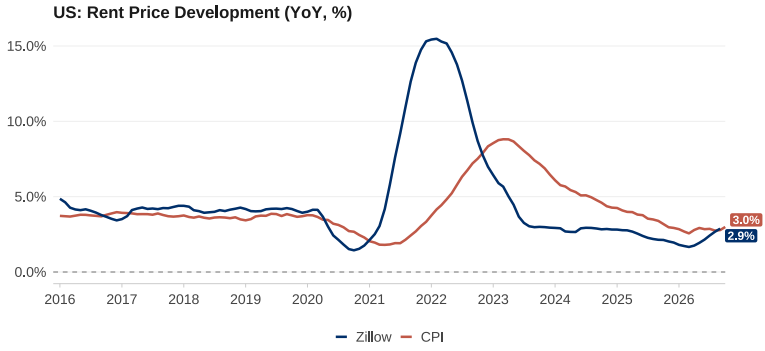
US Supercore Inflation Remains High



Source: BLS, BEA, Macrobond, Flossbach von Storch Research Institute, Data as of: 10,2026.

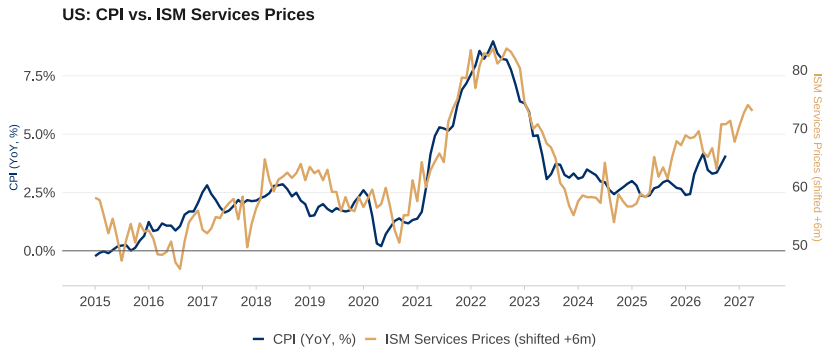
Supercore is defined as the services price index excluding energy and housing costs. Based on the CPI index, the annual rate of supercore inflation rose to around 3.4% in October. Measured by the PCE index, supercore inflation stood at around 3.6% in September. This shows that inflationary pressure in the services sector remains high even without housing costs.

USA: Rents Could Rise Faster Again



Rental costs make up a large share of services prices in the CPI and are also strongly correlated with owners' equivalent rent. During the pandemic years, the Zillow rent index for new leases was a reliable leading indicator for rent trends, as existing leases adjust with a lag. Currently, the Zillow rent index, at around 2.9%, signals similar rent growth to the CPI rent index at approximately 3.0%, but has been rising for several months.

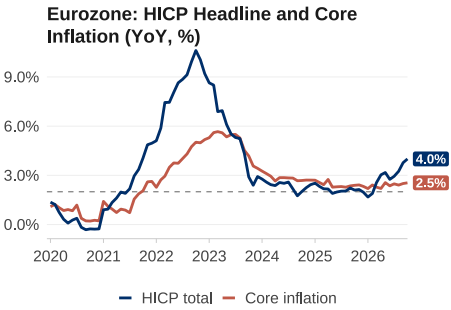
ISM Prices Signal Ongoing Inflationary Pressure



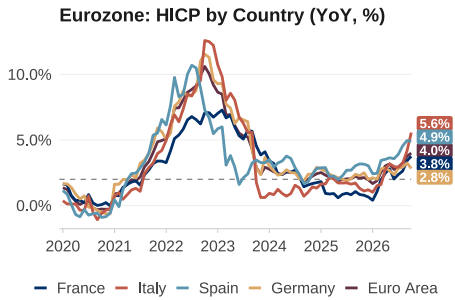
Source: BLS, ISM, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.2026.

The prices paid index in the ISM Services PMI leads consumer price inflation by approximately six months. In October, the ISM price index remained at a very high level of 73.0 points, indicating persistent high inflationary pressure.

Eurozone Inflation Rises to 4%, Core Rate Remains Stable



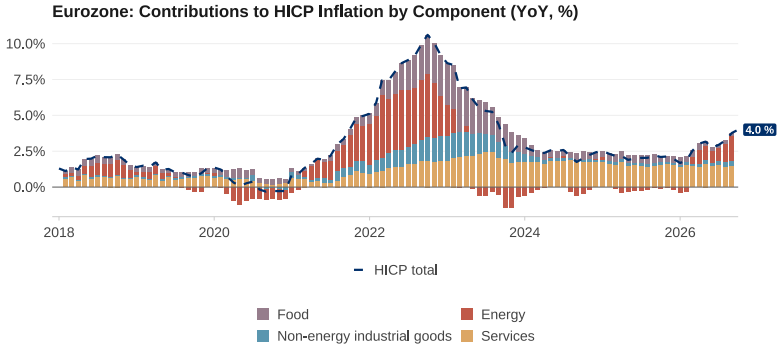
Source: Eurostat, Macrobond, Flossbach von Storch Research Institute.
Data as of: 10.2026.



Source: Eurostat, Macrobond, Flossbach von Storch Research Institute.
Data as of: 10.2026.

In October, Eurozone HICP rose further to 4.0% year-on-year, while core inflation remained at 2.5%. The development across member states was split: while inflation surged to 5.6% in Italy and to 3.8% in France, it dropped to 2.8% in Germany.

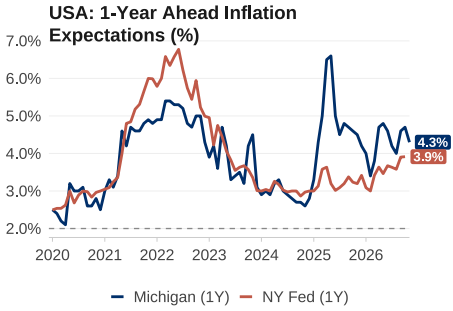
Energy and Services Drive Eurozone Inflation



Source: Eurostat, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.2026. August 2026: Total rate (Flash estimate), components through July.

Until late 2022, inflation was primarily driven by energy and food prices. Currently, price increases are predominantly driven by rising services and energy prices.

Household Inflation Expectations Remain Elevated



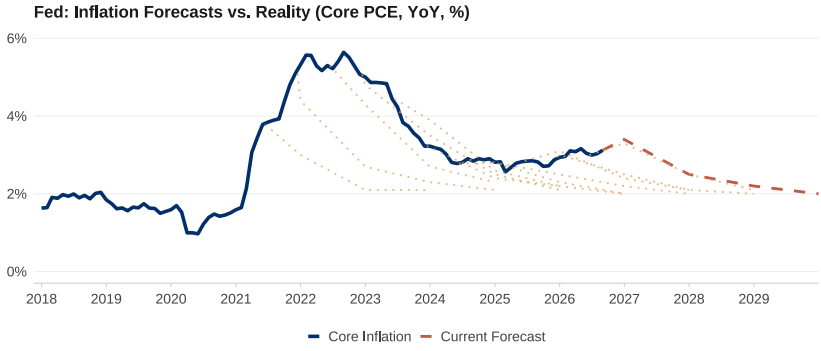
Source: Univ. Michigan, NY Fed, Macrobond, Flossbach von Storch Research Institute. Data as of: 11.2026.



Source: EZB, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.2026.

According to the preliminary Michigan survey, US consumer inflation expectations for the next twelve months fell from 4.7% to 4.3% in November. They thus remain significantly above the level prior to the start of the war in Iran (3.4%). The New York Fed reported 3.9% for September. In the euro area, households in September expected inflation of 3.1% for the coming year and 2.9% for the next three years according to the ECB.

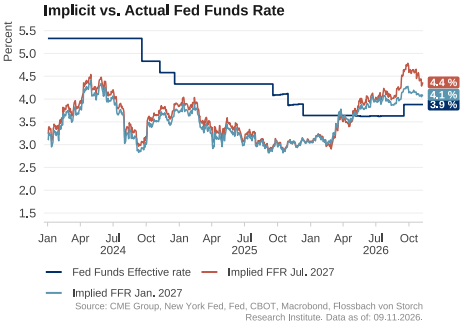
Fed Postpones Return to Inflation Target Once Again

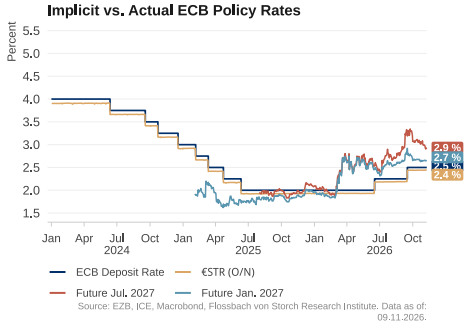


Source: Federal Reserve, BEA, Macrobond, Flossbach von Storch Research Institute, Data as of: 09.2026.

The US Federal Reserve assumes that inflation in the US will not return to the 2% target until 2029. At the beginning of the year, 2028 was still being projected. Since the resurgence of inflation in 2021, the Fed has had to revise its forecast year after year and postpone reaching the target once again.

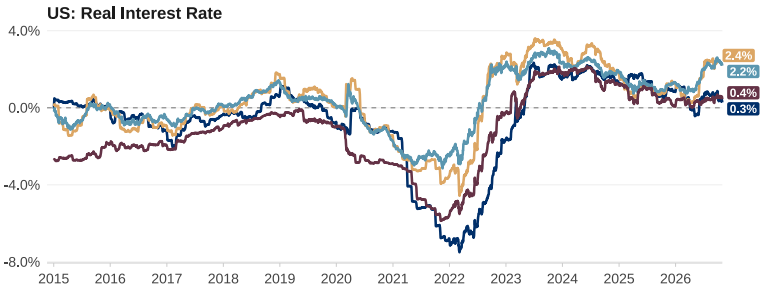
Interest Rate Markets Expect Further Tightening





Futures markets are pricing in rate hikes of at least 25 basis points for the US Federal Reserve through January 2027. Through July 2027, a total of around 50 basis points of rate tightening is expected. This would bring the key policy rate back close to the level prior to the rate cuts of the past year. For the euro area, further rate hikes totaling a solid 50 basis points are priced in through July 2027, of which around 20 basis points by January 2027. The expected level of interest rates in Europe remains well below that of the US.

US Real Interest Rates Remain Positive



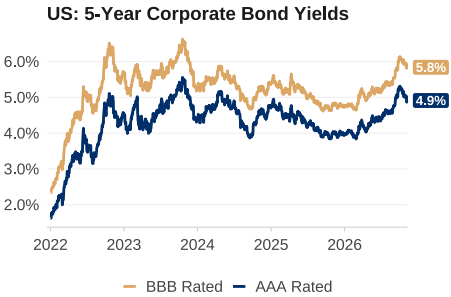
Source: Fed, BLS, NY Fed, Macrobond, Flossbach von Storch Research Institute. Data as of: 30.10.2026.

The real interest rate is the difference between the nominal interest rate and (expected) inflation. While the nominal interest rate can be observed in the market, an estimate must be used for expected inflation. Depending on the chosen approach, the (expected) real interest rate for the US economy currently lies in positive territory between 0.3% and 2.4%. Alternatively, one can observe the yield on inflation-indexed government bonds (TIPS in the US) in the market. For a two-year maturity, the real rate has been positive since April 2022 and currently stands at around 2.2%.

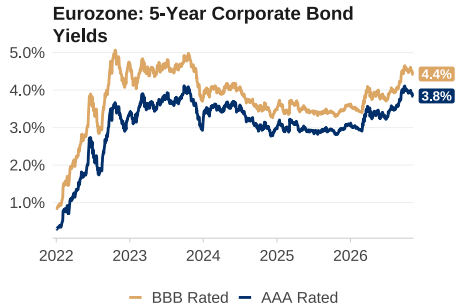
Real Economy



USA and Eurozone: High Financing Costs for Companies



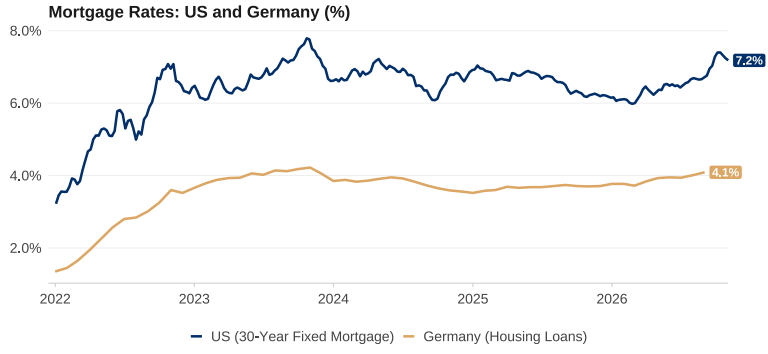
Source: Macrobond, Flossbach von Storch Research Institute. Data as of: 09.11.2026.



Source: Macrobond, Flossbach von Storch Research Institute. Data as of: 09.11.2026.

Financing costs for companies in both the US and the euro area have eased recently following a noticeable increase. Yields on five-year corporate bonds in both regions edged lower for both AAA and BBB bonds after having increased sharply over the course of the year. Yield spreads between credit rating categories remained largely stable.

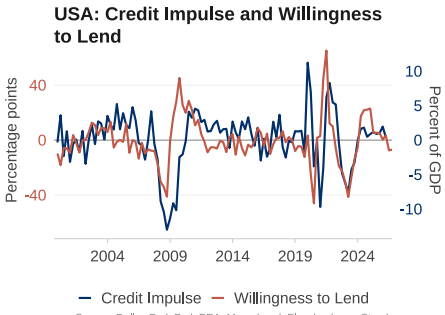
Mortgage Rates in the US Remain at a High Level



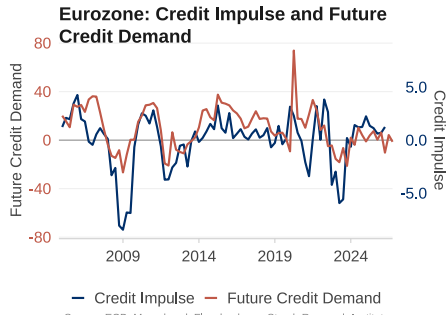
Source: Freddie Mac, Deutsche Bundesbank, Macrobond, Flossbach von Storch Research Institute, Data as of: 02.11.2026.

In the US, interest rates for 30-year mortgages remain at an elevated level and stood at around 7.2% at the end of October. In Germany, by contrast, interest rates for new residential housing loans remained largely stable at around 4.1%. High financing costs continue to dampen demand in the US residential real estate market.

Weaker Credit Impulse Points to Waning Demand



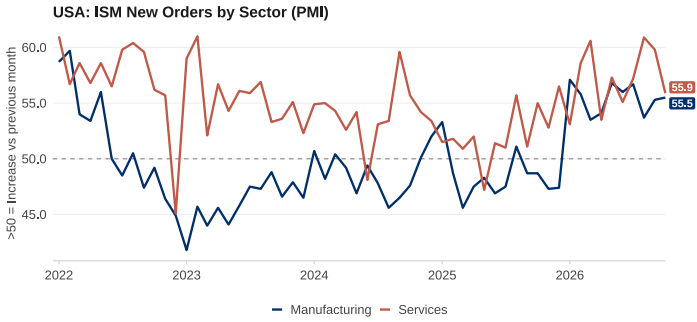
Source: Dallas Fed, Fed, BEA, Macrobond, Flossbach von Storch Research Institute. Data as of: 01.10.2026.



Source: ECB, Macrobond, Flossbach von Storch Research Institute. Data as of: 01.10.2026.

The credit impulse (the change in credit flows to the private sector in percentage points of GDP) is a reliable leading indicator for private demand trends. Most recently, it remained slightly positive in both the US and the euro area, but lost momentum. Because the number of banks reporting increasing willingness to lend is falling noticeably, particularly in the US, this points to an impending negative credit impulse.

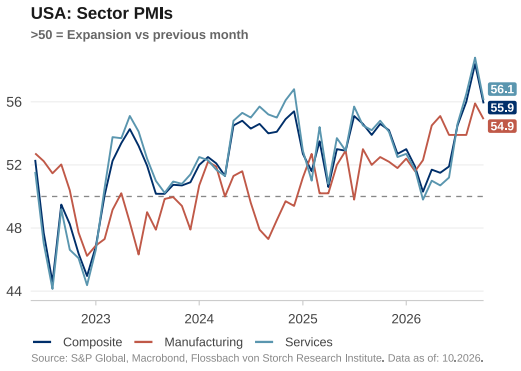
US New Orders Remain at a High Level



Source: ISM, Macrobond, Flossbach von Storch Research Institute. Data as of: 10.2026.

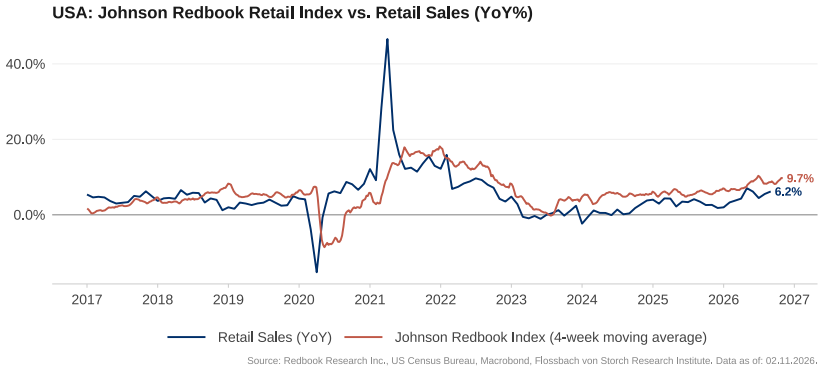
New orders continue to signal solid momentum for the US economy. In October, manufacturing new orders stabilized at a high level of 55.5 points. In the services sector, new orders eased from 59.8 to 55.9 points, but remain clearly in expansionary territory above the 50-point threshold.

US Services Sector Cools Down Slightly



Business conditions in the US services sector are somewhat less dynamic than in the previous month. The Purchasing Managers' Index declined from 58.8 to 56.1 points, but continues to signal solid expansion and supports the overall outlook together with robust manufacturing order intakes.

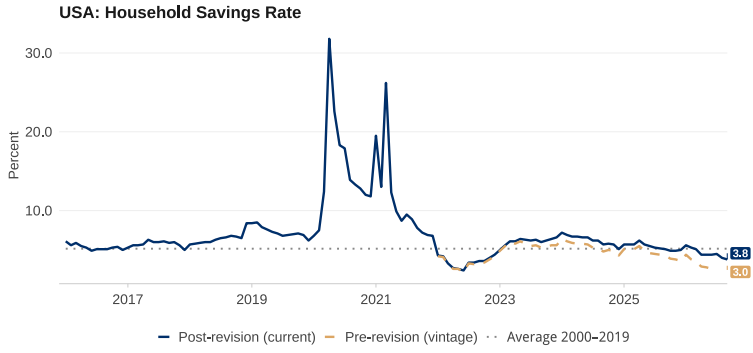
US Retail Sales Continue to Rise



Source: Redbook Research Inc., US Census Bureau, Macrobond, Flossbach von Storch Research Institute. Data as of: 02.11.2026.

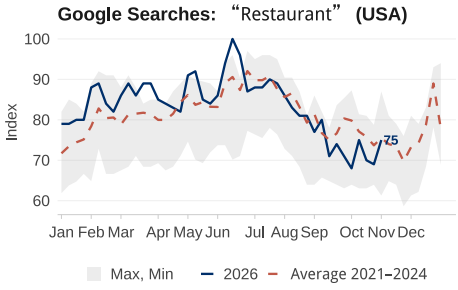
Retail sales in the US continue to grow solidly. On a 4-week average, the Johnson Redbook Index stood at a strong 9.8% year-on-year (with weekly peaks of up to 10.4%), pointing to ongoing robust nominal consumption among US households.

US Savings Rate Declines

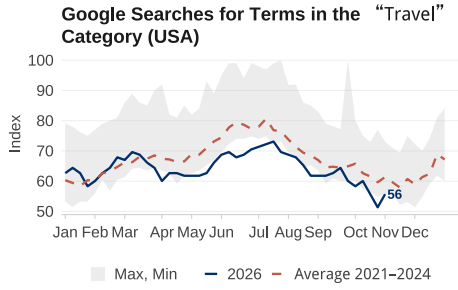


Between 2000 and 2019, the US household savings rate averaged 5.2%. Following the recent data revision, the savings rate in July was not at 3% as previously assumed, but significantly higher at 4.5%. The savings rate had been underestimated since 2022. The US consumer thus built up more financial cushion than assumed. Recently, however, the savings rate weakened and fell back to 3.8% in September 2026 (following 4.0% in August).

USA: Google Searches Point to More Cautious Consumer Behavior



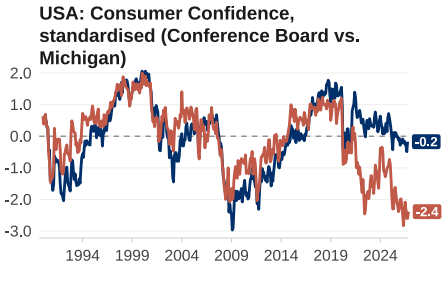
Source: Google, Macrobond. Note: Max = 100., Macrobond, Flossbach von Storch Research Institute. Data as of: 01.11.2026.

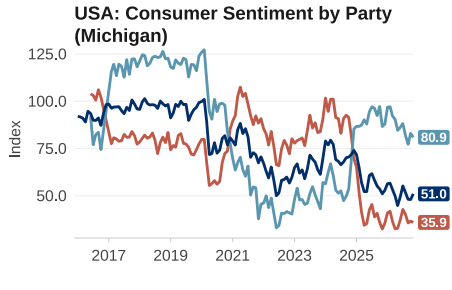


Source: Google, Macrobond. Note: Max = 100., Macrobond, Flossbach von Storch Research Institute. Data as of: 01.11.2026.

Consumption often begins with an internet search. Online search data therefore serves well as a leading indicator for private consumption. Search intensity for the term “restaurant” in the US in recent weeks was slightly below the 2021 to 2024 average, having previously been higher. Terms in the “travel” category have been searched somewhat less than the 2021 to 2024 average since March.

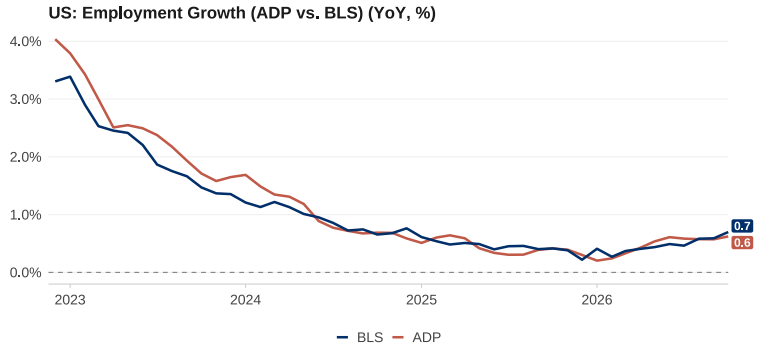
US Consumer Sentiment Remains Weak





American consumer sentiment remains on average pessimistic. The Conference Board Consumer Confidence Index is at levels seen during the COVID crisis. The University of Michigan Consumer Sentiment Index remains at levels otherwise only seen during recessions. As usual, supporters of the opposition party are significantly more pessimistic. Republicans, by contrast, remained optimistic, but have become more pessimistic since the outbreak of the war in Iran.

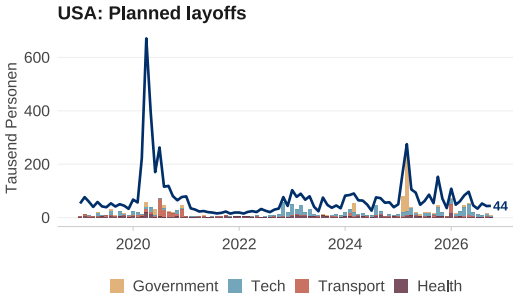
US Employment Growth Stabilizes at a Moderate Level



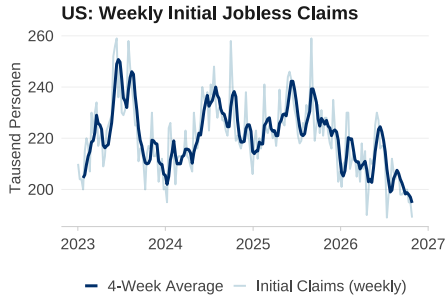
Source: ADP, BLS, Macrobond, Flossbach von Storch Research Institute, Data as of: 10,2026,

In October, non-farm private sector employment rose by 0.6% year-on-year according to the ADP report. Figures from the Bureau of Labor Statistics (BLS) showed annual growth of 0.7%, significantly higher than expected. The US labor market remains stable, but job growth is now proceeding more slowly than in the years between the financial and COVID crises.

USA: Layoffs and Initial Jobless Claims



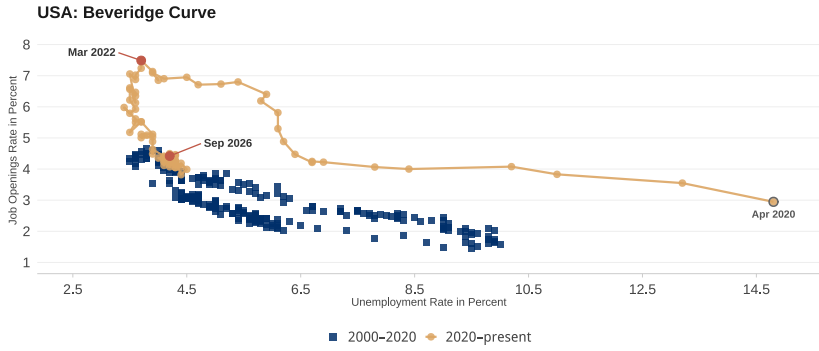
Source: Macrobond, BLS/JOLTS. Data as of: 10.2026



Quelle: Macrobond, BLS/JOLTS. Daten vom: 26.10.2026

In October, announced job cuts according to Challenger remained at a muted level of around 44,000. At the same time, weekly initial jobless claims fell back to around 189,000 at the end of October, continuing to underline the robust condition of the US labor market.

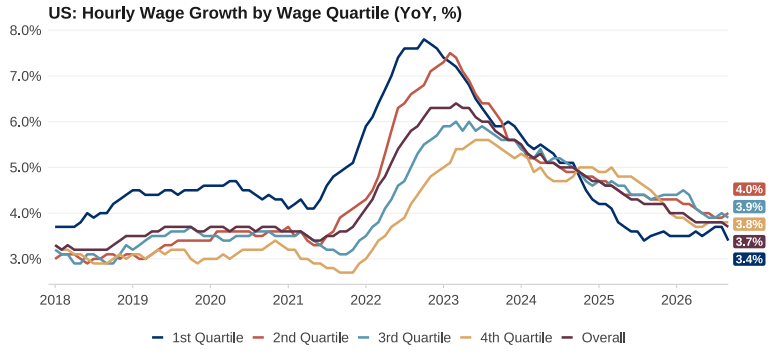
The US Labor Market is Less Tight



Source: BLS, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.2026.

The Beveridge curve shows the relationship between the job vacancy rate—vacancies as a percentage of total employment plus vacancies—and the unemployment rate. During the COVID crisis, the curve shifted outward because policy measures kept unemployment high despite abundant job openings. These rigidities have dissipated, and the Beveridge curve has returned to pre-COVID levels. The US labor market environment has thus normalized.

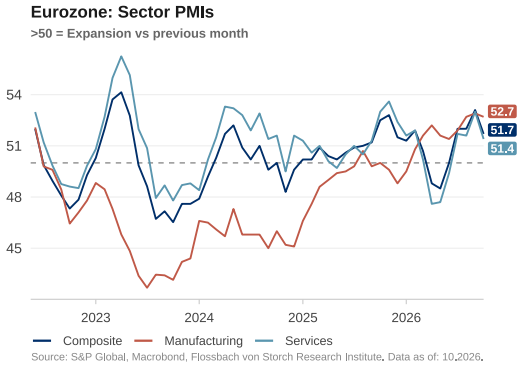
USA: Similar Wage Growth Across All Wage Quartiles



Source: Atlanta Fed, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.2026.

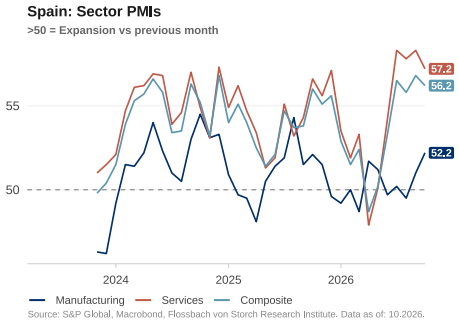
In September, average hourly earnings in the US rose by 3.7%. In the lowest wage quartile, they rose by 3.4%, somewhat slower than in the previous month, and remained unchanged at 3.8% in the highest quartile. Overall, wage growth across all four wage quartiles ranges between 3.4% and 4.0%.

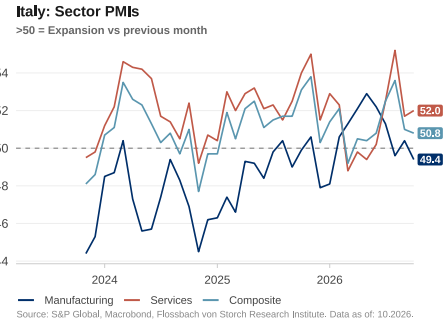
Eurozone: Momentum Wanes



In the Eurozone, the services sector supports economic activity, but is losing momentum. At the same time, the manufacturing PMI remained well above the neutral 50-point threshold at 52.7.

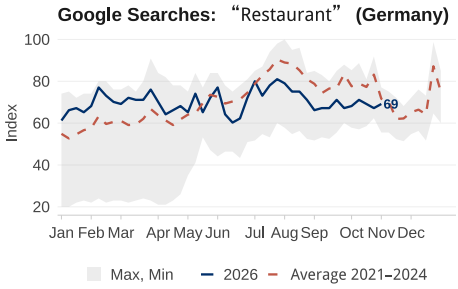
Booming Business Conditions in Spain



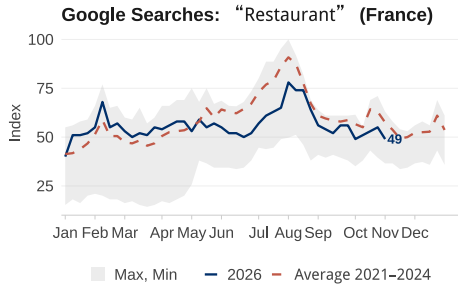


In Spain and Italy, business conditions remained expansionary in October. In Spain, the Composite PMI stood at a high level of 56.2 points, continuing to be strongly supported by the services sector (57.2). In Italy, momentum slowed moderately to 50.8 points, supported by services (52.0 points), while manufacturing was in contractionary territory at 49.4 points.

Google Searches Point to Consumer Restraint in Germany and France



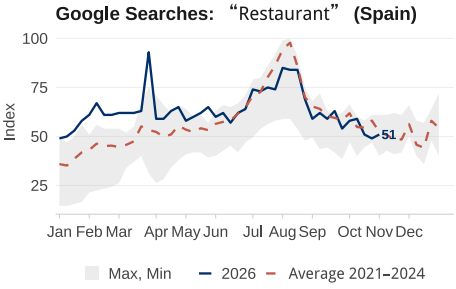
Source: Google, Macrobond. Note: Max = 100.. Macrobond, Flossbach von Storch Research Institute. Data as of: 01.11.2026.



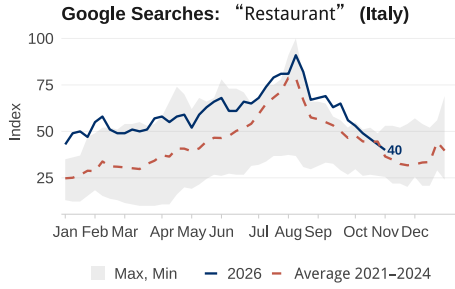
Source: Google, Macrobond. Note: Max = 100.. Macrobond, Flossbach von Storch Research Institute. Data as of: 01.11.2026.

Google searches for “restaurant” in Germany and France point to weak and declining private demand. In both countries, search intensity in recent weeks was lower than the 2021 to 2024 average for the same time of year.

Google Searches Paint a More Favorable Picture in Southern Europe



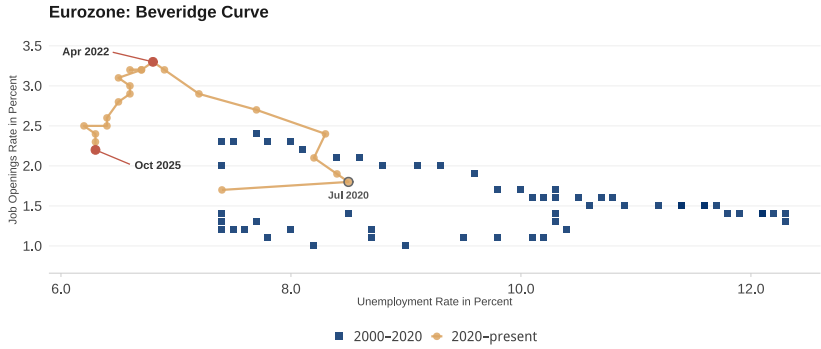
Source: Google, Macrobond. Note: Max = 100., Macrobond, Flossbach von Storch Research Institute. Data as of: 01.11.2026.



Source: Google, Macrobond. Note: Max = 100., Macrobond, Flossbach von Storch Research Institute. Data as of: 01.11.2026.

While search intensity for “restaurant” in Spain remained as high as the 2021 to 2024 average, it was slightly higher in Italy.

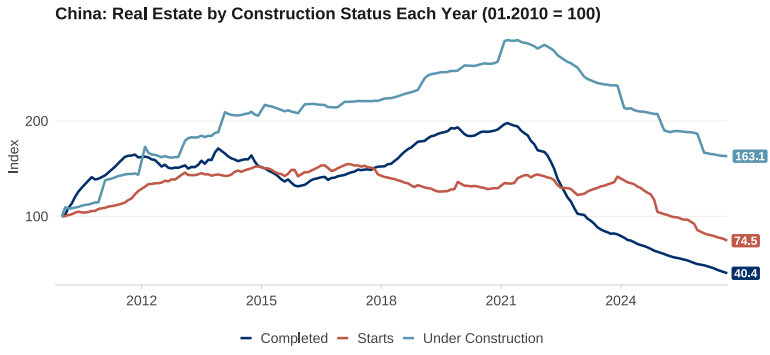
Eurozone: Unemployment Remains Low Despite Fewer Vacancies



Source: Eurostat, Macrobond, Flossbach von Storch Research Institute, Data as of: Q4 2025.

The Beveridge curve, illustrating the relationship between vacancy rate and unemployment rate, points to a tight labor market in the Eurozone. During the COVID crisis, the curve shifted outward as policy measures caused unemployment to remain elevated despite high job vacancies. In the meantime, these rigidities have largely dissipated and unemployment stands at historically low levels. Although the vacancy rate has declined, it once again aligns with the historical relationship between the two variables.

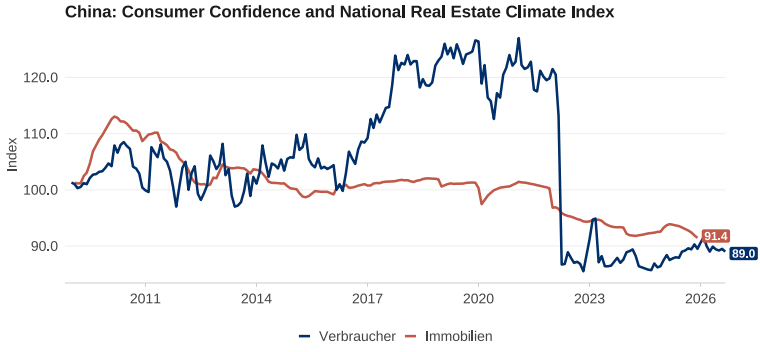
China's Construction Sector Continues to Show No Turnaround



Source: NBS, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.2026.

The number of new housing starts remained weak in September as well and has persisted far below 2010 levels since 2022. This is also reflected in the numbers of unfinished and completed properties, which continue to show no sign of a turnaround.

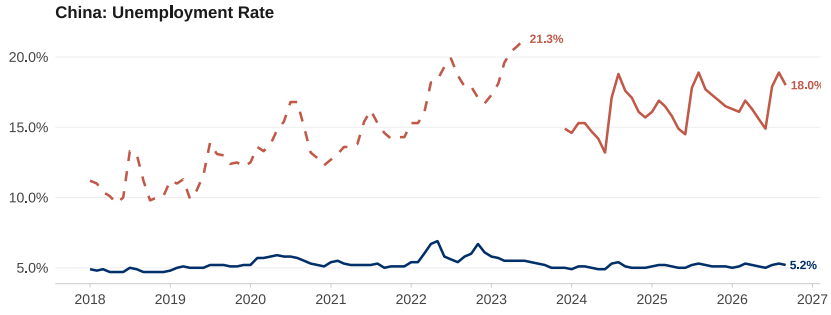
China’s Consumers Remain Pessimistic



Source: NBS, CEMAC, Macrobond, Flossbach von Storch Research Institute. Data as of: 09.2026.

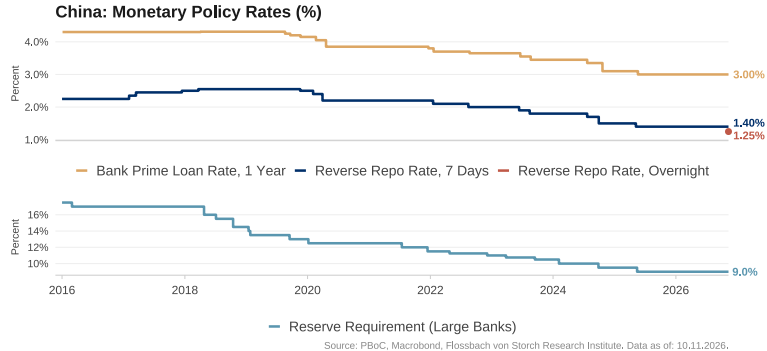
In China, consumer sentiment has improved slightly since early 2025, but remains historically low. Sentiment in the real estate sector is likewise depressed. The “National Real Estate Climate Index” has been trending downward for three years. Publication of the index was discontinued in January on the grounds that it no longer accurately represented actual developments in the real estate sector.

China: Very High Youth Unemployment



China's unemployment rate moved sideways at around 5% in recent years and stood at 5.2% in September. Youth unemployment, defined as the jobless rate among 16- to 24-year-olds, reached 21.3% in mid-2023. Following a six-month publication pause, a new statistic "excluding students" has been available since December 2023. After rising in August, this rate eased slightly to 18.0% in September, but remains at a high level.

China Counters Domestic Weakness with Expansionary Monetary Policy

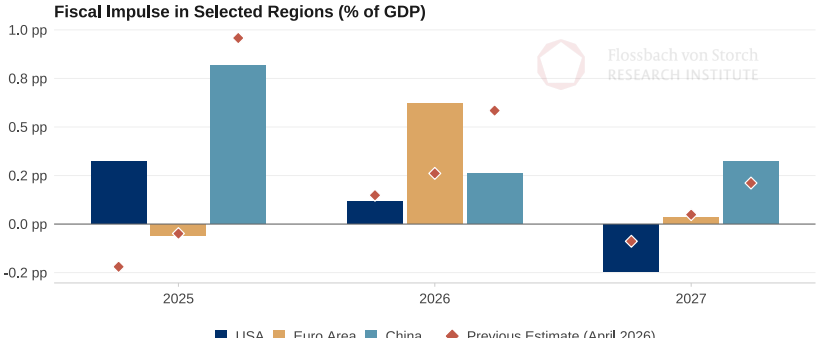


The Chinese central bank manages its monetary policy primarily through three instruments: the overnight reverse repo rate, the one-year Loan Prime Rate (LPR) of commercial banks, and the reserve requirement ratio (RRR). In November 2026, the overnight rate (1.25%) replaced the previous 7-day rate as the key policy rate for daily liquidity management. In recent years, the PBoC has lowered all benchmark rates multiple times to provide more liquidity and thereby support the economy through credit expansion. For 2026 and 2027, it signals a continued expansionary stance.

Outlook



Positive Fiscal Impulses: 2026 in the Euro Area, 2027 in China



Source: IMF Fiscal Monitor, Macrobond, Flossbach von Storch Research Institute. Data as of: October 2026.

The fiscal impulse measures the change in the cyclically adjusted primary deficit as a percentage of GDP (positive values indicate fiscal expansion, negative values restriction—independent of the absolute deficit level). In the euro area, the German defense and investment program in particular provides a positive impulse of +0.6% of GDP in 2026; barely any additional impulse follows for 2027 (+0.03%). In China, the impulse in 2026 is moderately positive at +0.26% and strengthens to +0.32% in 2027. In the US, by contrast, fiscal policy turns into a contractionary impulse in 2027 (-0.24%).

The Economy Has Held Up So Far – but Risks Remain

	Qualitative Factors			GDP Forecast 2026		GDP Forecast 2027	
	Momentum	Fiscal Policy	Financing	FvS-RI	Bloomberg Consensus	FvS-RI	Bloomberg Consensus
USA	+	0	–	**2.1%**	2.2%	**1.9%**	2.2%
China	0	+	0	**4.6%**	4.6%	**4.4%**	4.4%
Eurozone	+	+	–	**0.6%**	1.0%	**1.0%**	1.3%
Germany	+	+	–	**0.7%**	1.0%	**0.8%**	1.1%

Our growth forecasts are based on a qualitative assessment of economic momentum, the growth effect of fiscal policy, and financing conditions. Directional guidance, no point forecasts. Consensus: Bloomberg.

USA: The improvement in business conditions in conjunction with stable private consumption and a solid labor market underpins the positive momentum. AI developments support growth through a positive wealth effect on private consumption. On the fiscal side, no budget consolidation is planned. The negative fiscal impulse justifies our overall neutral assessment of fiscal policy. Monetarily, multiple interest rate hikes are priced in through mid-2027, which tightens financing conditions.

China: The persistent weakness in the real estate sector weighs on domestic demand. Manufacturing stabilizes the economy via exports, albeit particularly via subsidies, which points to overcapacity and has a deflationary effect. Slightly positive impulses can be expected from fiscal and monetary policy.

Eurozone / Germany: A recovery in Germany supports momentum in the Eurozone, while France remains weak. Spain and Italy contribute to growth, with the services sector providing the main contribution. Debt-financed economic stimulus programs, particularly in Germany, should provide an impulse through late 2026. Without deregulation, however, German infrastructure and defense investments are likely to have only a weak effect. Elevated energy prices (especially for natural gas) and more restrictive financing conditions place an additional burden on the economy. We have slightly raised our forecast for Germany to 0.7%, while for the Eurozone it remains at 0.6%.

Legal Notice

The information contained and opinions expressed in this document reflect the assessments of the author at the time of publication and are subject to change at any time without prior notice. Forward-looking statements reflect the view and future expectations of the author. Opinions and expectations may differ from assessments expressed in other documents of Flossbach von Storch SE. Contributions are provided solely for information purposes without contractual or other obligation. The information and assessments contained herein do not constitute investment advice or any other recommendation. No liability is accepted for the completeness, timeliness, or accuracy of the information and assessments provided. **Past performance is not a reliable indicator of future performance.**

All copyrights and other rights, titles, and claims in, to, and from all information in this publication remain unconditionally subject to applicable regulations and proprietary rights of the respective registered owners. You acquire no rights to the content. Copyright for published content created by Flossbach von Storch SE itself remains solely with Flossbach von Storch SE. Any reproduction or use of such content, in whole or in part, is not permitted without prior written consent from Flossbach von Storch SE. **Reprints of this publication as well as making it publicly accessible require prior written consent from Flossbach von Storch SE.** © 2026 Flossbach von Storch. All rights reserved.